

FIRSTBANK DIGITAL FACTORY

Executive Recommendation: NovaLend Go/No-Go

To: Executive Sponsor, FirstBank Digital Factory
From: Marvelous Bolaji, Product Owner, NovaLend
Subject: Go/No-Go Decision for NovaLend CBN Deadline

1. The Recommendation: Launch with Severe Restrictions

I recommend that NovaLend launches with a restricted risk framework ahead of the 6-week CBN deadline. By deploying a tightened risk cutoff and specific account direct debit mandates, we can satisfy CBN requirements, meet internal Risk mandates, and keep the product alive to iterate on conversion.

2. Justification: Addressing the 14% vs. 6% Default Gap

The current 30-day default rate sits at 14%, against a hard Risk target of 6%. To launch safely within 6 weeks, we will deploy two mandatory restrictions:

1. Risk-Tier Strict Cutoff: We will instantly halt offers to the highest-risk tier of our audience, sacrificing disbursement volume to artificially compress the default rate down toward the 6% target.

2. Specific Account Direct Debit Mandate (Card Tokenization): Borrowers must explicitly bind a specific debit card or bank account for automated repayment. This guarantees a primary recovery mechanism without triggering the privacy fears that cause high abandonment, perfectly balancing Risk mandates with UX trust.

3. What I Could Be Wrong About (Risks to this Approach)

- **The Default-Rate Bet:** I am assuming the 14% default rate is heavily concentrated in the bottom quartile of our risk models. If defaults are distributed evenly across all tiers due to macroeconomic factors, tightening the cutoff will just give us a smaller, equally toxic portfolio.

- **The Volume Bet:** By cutting off high-risk users and enforcing strict debit mandates, I am assuming we will retain enough good users to keep the product commercially viable. If lower-risk users continue to abandon the funnel despite these fixes, our disbursement volume could drop to near-zero.

4. Post-Launch Kill Criteria

If, after 14 days of deploying this restricted launch, the early delinquency rate (defined as missing the first payment by more than 3 days) on the new cohort remains above 10%, or if the offer acceptance rate drops below 10% resulting in unsustainable unit economics, I will

immediately recommend a formal pause to the Executive Sponsor. Triggering this criteria proves that the underlying credit-scoring model is fundamentally flawed and cannot be mitigated by product-level friction alone.

5. Conclusion

We launch. We apply the strict risk cutoff and direct debit mandates to survive the CBN audit and hit the 6% Risk target, while immediately shifting our Q4 roadmap to winning back the 66.1% of users abandoning the offer through dynamic, tiered pricing.